

Types of taxable periods for GST [¶32-090]

[¶32-090]

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GST legislation is based on the principle of voluntary compliance. This means, among other things, that registered persons are themselves responsible for filing GST returns, without any request from IR. Returns should be filed with IR at regular intervals. The period covered in the return is called the taxable period and it may be:

- # 2-monthly period
- # 6-monthly period
- # one-monthly period, or
- # a period equivalent to one of the above (applies to taxable periods starting on or after 30 March 2022).

Normally, the last day of a month is the end of a taxable period. However, a registered person may apply to IR to have a day other than the last day of the month as the end of its taxable period. Amendments have been made to allow the Commissioner to approve a registered person to use their accounting cycle as the basis for calculating GST payable for a taxable period. The Commissioner needs to be satisfied that the request to change their end date of taxable periods is consistent with the purpose of aligning the person's accounting system. The end date of the accounting cycle is aligned with the last day of a month using late and early balance date principles similar to those used in the IT07 for non-standard balance dates. The Commissioner may also approve an end date for the taxable period of a registered person that is not the last day of the month if the Commissioner is satisfied there are good commercial reasons for the registered person's chosen date and making the change is consistent with the purposes set out in s [15EB\(1\)](#) for making changes to taxable period end dates. For detailed commentary and examples, see *Tax Information Bulletin* Vol 37, No 5, June 2025 at 72. A change in the end date of the taxable period does not affect the due date for the filing of returns.

All GST-registered taxpayers who are liable for provisional tax must have their GST taxable period aligned with their income tax balance date. For example, a provisional taxpayer with a 31 March income tax balance date must have a GST taxable period that ends on 31 March. Any subsequent change of income tax balance date also necessitates a realignment of GST taxable period. See further at [¶22-115](#) and s [15B](#).

From 1 October 2016, GST applies to the supply of remote services by non-resident suppliers to New Zealand-resident consumers and these suppliers have calendar quarterly taxable periods ([¶32-680](#))

From 1 December 2019, GST applies to the supply of distantly taxable goods by non-resident suppliers to New Zealand-resident consumers. These suppliers have calendar quarterly taxable periods ([¶32-660](#)).

Law: GST ss [15](#), [15B](#), [15E](#), [15EB](#), [15EC](#), [15ED](#)

Last reviewed on 31 December 2025

Two-monthly taxable period for GST [¶32-100]

[¶32-100]

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A registered person has a 2-monthly taxable period unless application for another taxable period is made or the value of taxable supplies exceeds (or is likely to exceed) \$24 million. A person can elect to have a 2-month period ending in either odd or even months providing this aligns with their income tax balance date.

A person may apply for a change in taxable period in a way acceptable to the Commissioner.

Law: GST ss [15\(1\)\(b\)](#), [15B\(1\)](#), [15C](#)

Last reviewed on 31 December 2025

Six-monthly taxable period for GST [¶32-110]

[¶32-110]

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A registered person may apply to the Commissioner in writing to have a 6-monthly taxable period if:

- # the total value of taxable supplies (excluding GST) at the end of a 12-month period has not exceeded \$500,000, or
- # the total value (excluding GST) is unlikely to exceed that amount over a 12-month period.

If a person is registered for GST and is liable for provisional tax, the taxable period must align with their balance date and they must pay their GST and provisional tax on the same day.

Seasonal supplies

From 30 March 2017, a new objective test applies to seasonal supplies and provides that a person may apply for a 6-month taxable period regardless of their level of taxable supplies if the person makes 80% or more of the person's taxable supplies for an income year during a period of 6 months or less that ends with, or less than one month before, the end of the income year, and they have not had a 6-month taxable period under this test in the 24-month period before the application.

If a registered person has a 6-monthly taxable period and their turnover exceeds the \$500,000 limit, the person must advise the Commissioner in writing within 21 days (s [53\(1\)](#)). It is an absolute liability offence under s [143](#) of the TAA for that person to fail to notify the Commissioner. Accordingly, there is an ongoing need to monitor the total value of supplies made in the preceding 12 months. Special attention should be paid to a business with a rapid growth pattern or where turnover is subject to seasonal low-volume/high-value cashflow peaks.

No person will cease to satisfy the criteria where the value of supplies exceeds the threshold because of:

- # the cessation of, or reduction in the scale of, the supplier's business, or
- # the replacement of any plant or capital assets used in the supplier's business.

Also from 30 March 2017, changes to s [15C\(2\)](#) clarify that a person must change their taxable period from a 6-month period when they exceed the threshold for 6-monthly filing and the new exception for seasonal businesses does not apply. The person must change at the end of the next taxable period ending on or after the end of the 12-month period when they do not satisfy the criteria. A new "one-off" exception in s [15C\(2B\)](#) relieves a person from the requirement to change their taxable period where they are likely to not exceed the threshold in the following taxable period. However, for this exception to apply, the person must not have relied on the exception in the immediately preceding 12-month period.

Standard practice statement, [SPS 17/02](#), "Six-monthly GST return filing", which applies from 4 October 2017 discusses the new seasonal supplies criteria and the breach of threshold criteria, and includes a number of examples to illustrate when the criteria apply.

Law: GST ss [15\(1\)\(a\)](#), [\(2\)](#), [\(5\)](#), [15B\(1\)](#), [15C](#), [53\(1\)](#); TAA s [143](#)

Last reviewed on 31 December 2025

Monthly taxable period for GST [¶32-120]

[¶32-120]

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Any registered person may apply to have a monthly taxable period. The Commissioner is required to grant such an application. Any registered person whose total value of taxable supplies has in the preceding 12 months exceeded \$24 million, or is likely to do so in the next 12 months, is required to be on a monthly cycle. A registered person is obliged to advise the Commissioner within 21 days when their taxable supplies are at the threshold level. It is an absolute liability offence under s [143](#) of the TAA for that person to fail to notify the Commissioner. Accordingly, there is an ongoing need to monitor the total value of supplies in the preceding 12 months. The Commissioner will not direct that a person change from a monthly cycle unless that person applies for a change of taxable period.

Section [15\(3\)](#) allows a person to apply to the Commissioner to have a one-month taxable period for GST. Under s [15D\(2\)](#), the change in taxable period takes effect at the end of the taxable period in which the person applies.

Law: GST ss [15\(1\)\(c\)](#), [\(3\)](#), [\(4\)](#), [15C\(3C\)](#), [\(4\)](#), [53\(1\)](#)

Last reviewed on 31 December 2025

Death, liquidation, receivership or bankruptcy for GST [¶32-130]

[¶32-130]

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For the purposes of filing GST returns and paying GST, the date when any registered person dies, or goes into liquidation or receivership, or becomes bankrupt, is deemed to be the last day of that person's taxable period. This means that a return up to the deemed last day and a return to cover the period from the day after death or insolvency until the end of the usual taxable period will be furnished to cover the taxable period in which any of the above-mentioned events occurs. Both returns and payment of GST are due on the normal due date.

Liability

People who carry on taxable activities in their capacity as personal representatives, liquidators or receivers of an incapacitated person are specified agents. Section [58\(1A\)](#) deems such specified agents to be registered persons carrying on the incapacitated person's taxable activity. In effect, this imposes personal liability for GST on the specified agents.

The specified agent is not personally liable for liabilities incurred by the incapacitated person before death or incapacity (s [58\(1D\)](#)). The specified agent may, however, file outstanding returns and claim input tax credits for the pre-agency period. This claim is subject to the Commissioner's right of set-off for unpaid tax and GST of the incapacitated person (s [58\(1C\)](#)). Specified agents must notify IR that they are carrying on the taxable activity and the circumstances that gave rise to their carrying on the taxable activity. IR will keep a record of the start of the agency period.

The GST registration number will be the same as for the incapacitated person.

Interpretation statement

Interpretation statement, [IS 23/03](#) "GST –Section 58: Specified agents of incapacitated persons, and mortgagees in possession" discusses how s [58](#) applies in the case of death of a GST registered taxpayer. At [18] it confirms that in the period between death of the person and the appointment of the executor another person may be acting as interim agent. The agent is not personally liable for any GST liabilities that the deceased may have incurred on or before date the agency period started. The agent is allowed to claim any unpaid input tax that the deceased had failed to claim.

For discussion on GST issues arising on the death of a partner, see [¶23-115](#).

Law: GST ss [15E\(3\)](#), [\(4\)](#), [58](#)

Last reviewed on 31 December 2025

Selecting a taxable period for GST [¶32-145]

[¶32-145]

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A registered person should give careful consideration to whether they wish to adopt a taxable period other than a 2-monthly taxable period. The obvious cost advantage of filing 6-monthly GST returns, rather than 2-monthly returns, suggests that many smaller traders will seek this basis of accounting. There may also be a cash flow benefit for traders who have to pay tax to the Commissioner (rather than receive a refund) in receiving GST from a customer towards the commencement of a taxable period and only accounting to IR for that payment at the end of that period.

In spite of the increased costs of filing monthly returns, it would appear to be to the advantage of some registered persons to opt for monthly filing. Persons in a net GST credit situation with IR (ie persons who have paid more GST to their suppliers than that received from their customers) will be advantaged by a shorter return period. Exporters provide the obvious example of businesses that would benefit from being on a monthly cycle. Other persons who make a proportionately large number of zero-rated supplies would also benefit.

Example:

Exported goods are zero rated, so that an exporter may not collect GST on goods sold to an overseas customer. However, if the exporter has purchased materials in New Zealand that were subject to GST, they will be entitled to recover the amounts of GST paid from IR. Having paid GST on the purchase of materials without having collected GST from its customer, the exporter will be in a net credit situation with IR. It would appear to be to the exporter's advantage to recover the GST component of its business purchases from IR as soon as possible after the payment to its supplier.

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